diverted the funds they had borrowed to their group companies. In many cases the money had been invested in real estate, making it harder for the authorities to recover the funds. Anjani Sinha was arrested a couple of months after the scam surfaced, and Jignesh Shah was arrested in May the following year. Between these arrests, some of the big borrowers also got to see what a prison looks from the inside. But other than a handful of small investors, most of the investors who had put their faith in NSEL are yet to recover their money, even as investigators are trying to trace the money trail leading out of NSEL.

Initially, the government appeared to show little sympathy for the NSEL investors. It knew that ignoring 13,000 investors, most of them HNIs who had lost money investing in a complex derivatives product, was unlikely to cost it politically. When the NSEL Investors Forum approached a senior bureaucrat, he publicly rebuked the members for investing in an unregulated exchange like NSEL despite being better informed than the average investor. The chiding was not entirely undeserved, but two PSUs, PEC and MMTC, too had invested in the NSEL contracts. And what about the government's own failure to keep track of the developments at NSEL? There were adequate indications that the exchange was flouting every rule in the book. The Ministry of Consumer Affairs had even shot off a show cause notice to NSEL in October 2012. But there had been no follow-up action.

I had been hearing about trouble brewing at NSEL in June itself that year. Since the positions I had in both FTIL and MCX were not my own, I had little to worry about. But having been around in the market for so long, I also knew that matters could get out of hand quickly. I approached the person who had arranged for me to play market-maker in the stock and told him about my concerns.

'You worry unnecessarily, Lala, these things can be managed without too much trouble, as they have been so far,' he told me.

I did not press the matter further.

The stock prices of both FTIL and MCX began to slide rapidly in the third week of July after the Ministry of Consumer Affairs ordered NSEL to stop issuing fresh contracts. I once again got in touch with the person who was playing the music conductor in both stocks. I knew something was amiss and wanted to get out of my positions. But I knew that would result